

RESEARCH ASSIGNMENT

Business Analytics Terminology

The Language of Business Analytics

① Foundational Concepts of Analytics

① Business Analytics

* Def: IS a process of using statistical analysis to explore the data of an organisation. It assists in decision-making and also improves performance.

* Example: Data visualization, Using tools to visualize the data of the organisation.

* Source: www.ibm.com

② Data Analytics

* Def: IS the process of collecting raw data, cleaning it and come up with results that will give an insight of the data.

- The difference between Business Analytics and Data Analytics is that in Business Analytics, they used statistical analysis to assist in decision-making and Data Analytics is a process of collecting raw data to bring insight about the organisation.

* Example: A company might take the raw data to the Analyst for them to solve the business problems by coming up with insights.

* Source: Investopedia

(3) Business Intelligence (BI)

* Def: Is the process of using the power of technologies to collect and analyze data to be used for decision-making in businesses or organisations.

* Example: Taking historical and real-time data for planning purposes.

* Source: cloud.google.com & www.tableau.com

(4) Data-Driven Decision Making.

* Def: Is the process of using facts and data analysis to guide strategic business decision rather than relying on intuition.

* Example: Looking at the Data of the company and decide on the next step.

* Source: cloud.google.com

(5) Big Data

* Def: Is a massive, complex raw data set that has structured and unstructured data that traditional data processing software cannot manage.

* Example: Bight TV raw data that needed an Analyst to clean it.

* Source: cloud.google.com

⑥ Descriptive Analytics

* Def: Is the process of using current and historical data and transform it into an understandable insight to identify everything about the business and know what happened or what is happening in a business.

* Example: Monthly revenue reports.

* Source: Harvard Business School

⑦ Diagnostic Analytics

* Def: Is a set of business analytics that analyzes raw data to uncover root causes of business problems or issues.

* Example: Using techniques such as statistical modeling.

* Source: www.ibm.com

⑧ Predictive analytics

* Def: Using raw or historical data and machine learning to predict the future outcomes of the organisation with high degree of precision.

* Example: Forecasting future cashflows.

* Source: online.hbs.edu

⑨ Prescriptive Analytics

* Def: Prescriptive Analytics focus on recommending specific actions to achieve desired outcomes.

* Example: Checking raw data and recommend what will work to solve problem.

* Source: www.ibm.com

⑩ Data literacy

* Def: Is the ability to read, analyze and communicate with data to make informed decisions rather than relying on intuition

* Example: Understanding basic metrics.

⑪ Data, Measurement & reporting.

① Structured Data

* Def: Is an organised data in a table that is formatted into rows and columns.

* Example: Organised financial transaction

* Source: Brightlearn Data Analytics Course.

② Unstructured Data

* Def: Is a Data that has no specific format or organizational structure

* Example: Music, Voice note, radio

* Source: Brightlearn Data Analytics Course.

③ Data Warehouse.

* Def: It's a central data store that stores data from multiple sources

* Example: Consolidating in-store transaction data if it's a retail store.

* Source: www.greetsforgreets.org

(14) Data Mining

* Def: Is the process of analyzing complex datasets using machine learning to discover hidden patterns.

* Example: fraud detection in banking.

* Source: www.ibm.com

(15) Data Visualization

* Def: Using raw data to then analyze it by coding and transferring it to certain tools in order to visualize and state the insights.

* Example: Using Tableau app to visualize data.

* Source: BrightLearn Data Analytics course.

(16) Dashboard

* Def: Is a live view of business performance that is used to display key performance indicators.

* Example: Charts and graphs.

* Source: www.ibm.com

(17) Metric

* Def: Is a system of measurement that standardises units and describe large and small quantities.

* Example: Using grams and kilograms to measure the weight.

* Source: www.greekforgreeks.org

⑮ Key Performance Indicator (KPI)

* Def: Key Performance Indicators are measures that are used to track the how the business is performing and all the activities.

> Metrics uses measurements like grams & kilograms while KPI's is all about doing things like campaigns to see how business is performing.

* Example: Campaigns.

* Source: Harvard Business School.

⑯ Benchmark.

* Def: Is a standard of excellence against which similar things must be measured.

* Example: benchmarking performance against external criteria.

* Source: Harvard Business School.

⑰ Segmentation.

* Def: Is the process of dividing or breaking down parts into smaller groups that has similar characteristics.

> dividing target audience into specific traits.

* Example: Separating Age with location.

* Source: www.ibm.com

⑱ Customer & Sales KPIs

(21) Conversion Rate

* IS the percentage of users who take a desired action to measure the success of user engagement.

* Example: 80% of visitors watch TV out of 100%.

* Source: www.optimize.ly.com.

(22) Customer Acquisition Cost (CAC)

* IS the total cost that company incurs to acquire a new customer.

* Example: resources and costs incurred to acquire an additional customer.

(23) Customer Lifetime Value (CLV/LTV)

* Def: IS the ~~rate~~ total revenue a business can expect from an individual customer throughout their entire relationship.

* Example: measure long-term customer worth.

(24) Churn rate

* Def: % of customers who stop doing business with a company over a specific period.

* Example: dividing lost customers by the total customers at the start of the period.

* Source: www.zendesk.com

(25) Customer Retention Rate.

* Def: The percentage of customers retained over a period of time.

> The difference between Churn rate and Customer Retention Rate is that Churn rate give the percentage of customers who stopped doing business whilst Customer Retention rate show customers who are still in the business.

* Source: www.ibm.com

(26) Net Promoter Score (NPS)

* Def: It is a metric that measures how the company or how much the company like the company and if customer will recommend it to others.

* Example: rating the company on a website from 0 to 5 stars.

* Source: Harvard Business School.

(27) Average Order Value (AOV)

* Def: It is about measuring the average amount spent per transaction.

* Example: dividing total revenue by number of orders.

* Source: Harvard Business School.

(28) Sales Funnel

* Def: It is used to measure or calculate how the company thinks using set certain service from the start until they finally used the service or purchased a certain product.

* Example: When a customer is deciding to try a certain brand until they finally buy it.

* Source: www.ibm.com

(29) Marketing & Campaign Analysis.

(30) Marketing Campaign

* Def: Campaigning for a certain product or service in order to market them.

* Example: Advertising Viseline product.

* Source: my own view.

③② Post-campaign Analysis

* Def: IS the process of reviewing the outcomes of a marketing campaign to understand the impact that it has and then guide future decisions.

* Source: www.linkedin.com

③③ Incremental Revenue

* Def: The revenue that the company earned from introducing new products or brands

* Example: Introducing new brand to in the market to generate income

* Source: Harvard Business School

③④ Return on Investment (ROI)

* Def: The benefits that the business received back after investing into a certain business or project

* Example: Profit the company gets after starting a new business.

③⑤ Revenue on Ad Spend

* Def: Income/revenue the company received on an Ad they have created.

* Example: Ad/Ad that comes in between Youtube videos.

* Source: my own point of view.

③⑥ Click-Through Rate (CTR)

* Def: The rate or percentage

: ~~The~~ The rate of how much percentage the company got after people view or click the link.

* Source: own point of view

③⑦ Bounce rate.

* Def: The percentage of visitors who enter a website and leave after viewing once and or without interacting.

* Example: Watching a Youtube video and not leaving a like, comment or subscribe.

(36) A/B Testing.

* Def: Is the process of testing two versions of a digital assets to determine which performs better

* Example: Splitting audience traffic between the original and a modified version

* Source: www.greefergreets.org.

(37) Lead Generation.

* Def: Identify or attracting certain individuals who have interest in a certain product or service, guiding them into the sales pipeline.

* Examples: offering free products or services in order to keep the customers.

* Source: www.coursera.org

(38) Marketing Attribution.

* Def: Identifying the channels and messages that inspire potential buyers to take action in order to give them credit.

* Example: giving credit to customers who interact with the product or service first.

* Source: Harvard Business School.

→ All these terms are at some point ^{connected} ~~connected~~ and they go hand in hand because they ~~at~~ define customers and how they mean to the business